We agree that AFFE information is valuable and can help investors to understand the layered fees and expenses associated with a fund of funds arrangement and to compare similar funds. We believe this information is particularly important when a fund substantially invests in other funds such that the fund is, in essence, managed significantly at the acquired fund level. At the same time, we are sensitive to the concern that requiring every fund to include AFFE in its fee table as a component of the fund's ongoing annual fees reduces consistency with the fund's financial statements and may in some cases magnify the presentation of AFFE by requiring fee table disclosure of this discrete category of performance expenses even though the fund does not invest significantly in acquired funds and may incur other indirect costs that are not reflected in the fee table. We understand these factors may contribute to investor confusion.

As a result of these considerations, we are proposing to permit funds that invest 10% or less of their total assets in acquired funds to omit the AFFE line item in the fee table that is a component of the fund's bottom line ongoing annual fees, and instead disclose the amount of the fund's AFFE in footnotes to the fee table and fee summary. The proposed amendments are designed to maintain the benefits of transparent AFFE disclosure for investors and to provide more consistent disclosure of information related to indirect costs. Where a fund invests in other funds to a limited extent—10% or less of its total assets (consistent with statutory limits on funds' investments in other funds)—the fees and expenses of the acquired funds may more closely resemble other indirect costs, such as transaction costs, and these types of indirect costs each would not be reflected in the prospectus fee table.[615] Specifically,

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[615] *See* section 12(d)(1)(A)(iii) of the Investment Company Act [15 U.S.C. 80a-12(d)(1)(A)(iii)

the proposal would provide for more consistent treatment with other indirect costs by removing AFFE as a line item that represents a component of the bottom line ongoing annual fees figure in such a fund's fee table and fee summary, while retaining information about the amount of AFFE in footnotes accompanying the fee table and fee summary.

Conversely, under the proposal, a fund that invests more than 10% of its total assets in acquired funds would continue to be required to disclose AFFE as a line item in its prospectus fee table and would continue to reflect this amount in its bottom line ongoing annual fees. We believe it is appropriate to retain the current AFFE disclosure requirement for this category of funds because, when investing in acquired funds is a significant component of a fund's investment strategy, AFFE can represent a significant part of the fund's ongoing annual fees and is more akin to an ongoing operating expense the fund would incur if it were managing the acquired fund's underlying portfolio investments directly. For example, we understand that certain funds, such as certain target date funds, have no, or very low, management fees at the acquiring fund level, with the majority of fees borne at the acquired fund level. For these funds, a fee table with no AFFE line item has the potential to confuse investors in that it could show 0 or close to 0 ongoing annual fees.

(10% limit on total assets of an acquiring fund that may be invested in all acquired funds); *see also supra* paragraph accompanying footnote 577 (discussing indirect costs that the prospectus fee table does not reflect). Congress established the 10% limit in part based on a concern about the potential for excessive fees when one fund invests in another. *See* Fund of Funds Proposing Release, *supra* footnote 608, at n.14 and accompanying text. While funds may under certain circumstances invest more than 10% of their total assets in acquired funds under other statutory provisions, Commission rules, or exemptive orders, we are proposing to use the 10% figure from section 12(d)(1)(A)(iii) as a threshold for determining when a fund's investments in acquired funds is a significant component of its investment strategy such that fee table disclosure of AFFE is needed.

To determine whether a fund may omit AFFE from its prospectus fee table, the proposal would use a 10% threshold based on the average of the fund's investments in acquired funds (excluding money market funds) divided by the fund's total assets.[616] To calculate the 10% threshold, a fund would:

- Divide the fund's investments in acquired funds (excluding money market funds) by the fund's total assets at the end of each of the 12 months that make up the prior fiscal year. This will produce 12 data items (or fewer if the fund has not been in operation for a full fiscal year).
- Calculate the average of the 12 data items. If this figure is 10% or less, the fund may omit AFFE from its prospectus fee table and instead include the prescribed footnote.

The 10% threshold is based on an average of month-end holdings, rather than holdings as of the end of the fiscal year or another single date, to smooth fluctuations, such as those related to market events and investor flows. It also would help mitigate any gaming concerns by limiting funds' ability to reduce their investments in other funds to stay below the 10% threshold only on a given date. The month-end calculation is also aligned with Form N-PORT requirements for month-end portfolio data, which may reduce the need for funds to collect

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616 *See* proposed Instruction 4(f)(ii) to proposed Item 8A of Form N-1A. We are also proposing to remove the language in current Instruction 3(f)(i) to Item 3 of Form N-1A that provides, "In the event the fees and expenses incurred indirectly by the Fund as a result of investment in shares of one or more Acquired Funds do not exceed 0.01 percent (one basis point) of average net assets of the Fund, the Fund may include these fees and expenses under the subcaption 'Other Expenses' in lieu of this disclosure requirement." We believe that our proposal to permit funds that hold limited acquired fund investments to disclose AFFE in a footnote instead of the fee table would result in funds never, or very rarely, qualifying to disclose AFFE under the "other expenses" line item under this instruction.

new data under the proposal and facilitate verifications that a fund may disclose AFFE in a footnote.[617] We also propose to omit all money market fund investments from the 10% calculation.[618] We understand that funds, including funds that invest significantly in other funds, typically invest in money market funds for cash management purposes rather than to pursue the fund's investment objective through an investment in another fund.[619]

While the calculation of the 10% threshold would be based on monthly data, the proposal would not require a fund to assess whether it may disclose AFFE in a footnote to the fee table on a monthly basis or to update its prospectus fee table based solely on such monthly assessments. Instead, a fund would assess whether it is below the 10% threshold when it otherwise must update its prospectus fee table (*e.g.*, at the time of its annual prospectus update) based on information as of its prior fiscal year.[620] However, if there is a material

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617 Because a new fund would not have this monthly data, a new fund should base the 10% threshold on assumptions of the percent of acquired funds in which the new fund expects to invest. *See* proposed Instruction 4(f)(vii) to proposed Item 8A of Form N-1A. Currently, new funds make similar assumptions about expected acquired fund investments for purposes of disclosing the amount of AFFE. *See* Instruction 3(f)(vi) to Item 3 of current Form N-1A.

618 The Commission previously has determined that money market funds, which did not exist in 1940, do not raise the concerns underlying section 12(d)(1) of the Investment Company Act and has permitted funds to invest an unlimited amount of their uninvested cash in money market funds rather than directly in short-term instruments. *See* 17 CFR 270.12d1-1 (rule 12d1-1).

This proposed instruction does not change the current treatment of money market funds with respect to the calculation of AFFE.

619 Some funds, such as target date funds, may hold money market funds consistent with stated asset allocation objectives (particularly when they reach or pass their stated target date). However, these same funds tend to invest significantly in other funds as well, making them ineligible to move AFFE disclosure to a footnote under the proposal.

620 This is consistent with the calculation of ongoing annual fees which is also based on amounts incurred during the fund's most recent fiscal year. *See* proposed Instruction 4(d) to Item 3 of Form N-1A and proposed Instruction 4(d) to proposed Item 8A of Form N-1A.

change to the amount a fund invests in other funds (such as due to a change to the fund's strategies) or its AFFE, we would expect the fund to update its prospectus to reflect the change just as it would for any other material changes to its annual ongoing fees.[621] We propose to permit, rather than require, a fund with limited acquired fund investments to disclose AFFE in a footnote to limit burdens on funds that would prefer to consistently disclose AFFE in the fee table instead of monitoring the amount of acquired fund investments to determine eligibility for the footnote-based approach. Moreover, we recognize that a fund that tends to maintain acquired fund investments close to the 10% threshold may prefer to disclose AFFE in the fee table each year instead of moving the disclosure back and forth between the footnote and the fee table, which could lead to investor confusion.

The footnote that a fund eligible to use the new AFFE presentation would be permitted to use would have to include: (1) the amount of the fund's AFFE, and (2) a statement that the fund's total ongoing annual fees in the table and fee summary would be higher if these fees and expenses were included.[622] We believe this requirement would provide investors with AFFE information they could use to compare funds and would help them understand the relevance of a fund's AFFE amount. The footnote to the fee table would be tagged using XBRL, so the AFFE amount would continue to be available not only to investors viewing the prospectus and summary prospectus, but also to data aggregators and other market participants.[623]

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621 *See* proposed Instruction 4(d)(ii) to Item 3 of Form N-1A and proposed Instruction 4(d)(ii) to proposed Item 8A of Form N-1A.

622 *See* proposed Instruction 4(d) to Item 3 and proposed Instruction 4(f)(ii) to proposed Item 8A of Form N-1A.

623 *See infra* Section II.H.1.i (discussing structured data requirements for the prospectus fee table).